

Training Script: Playing Field Module

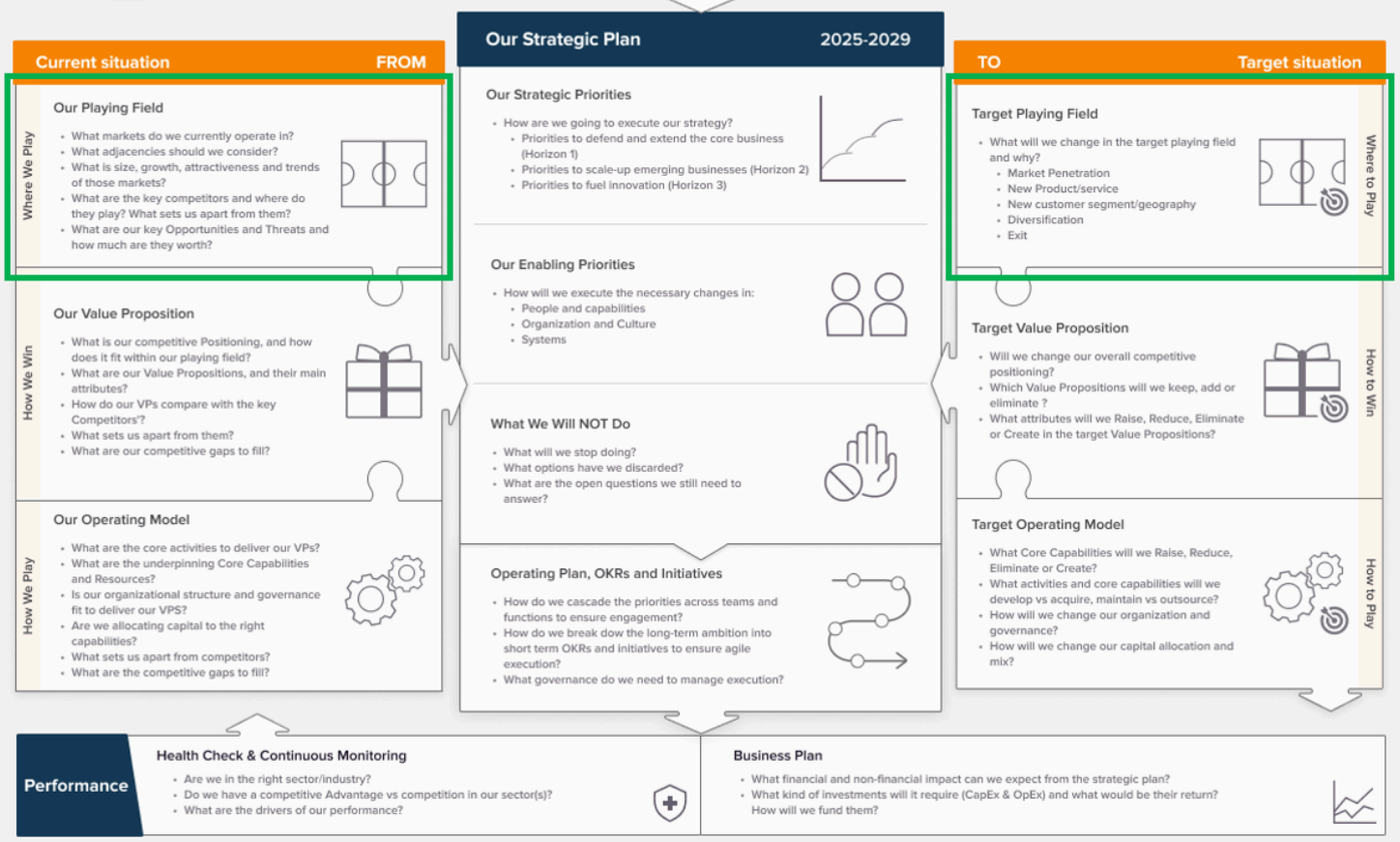
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Our Winning Ambition

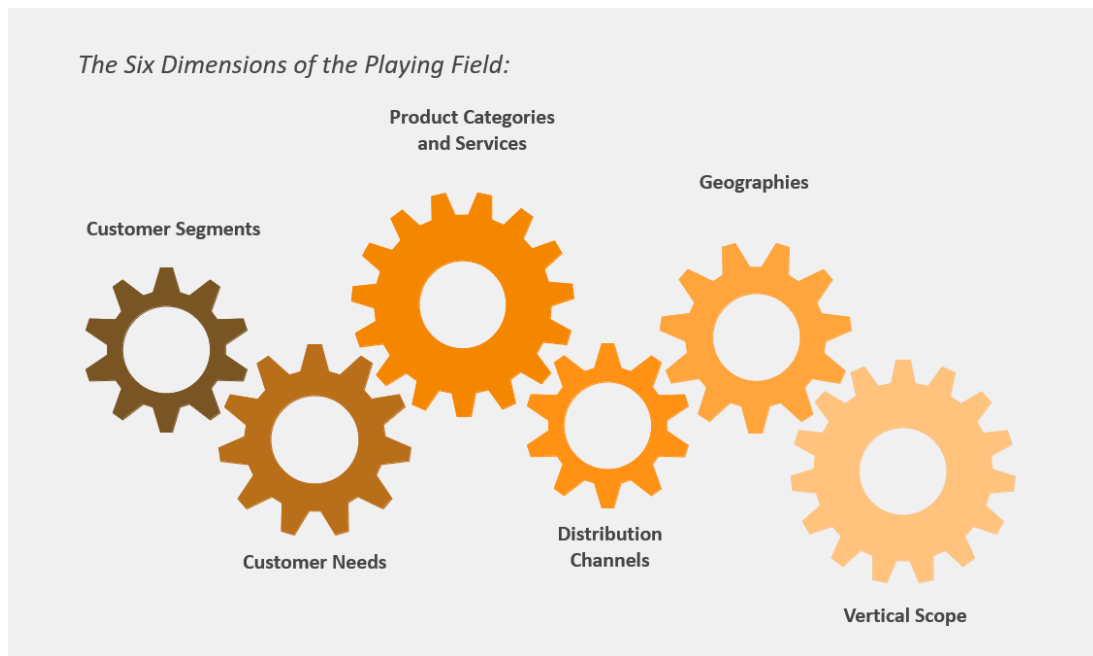
- What is our Purpose?
- What are our Values, beliefs and culture?
- What is our Vision?
- What is our Level of Ambition?
- What do we need to change?



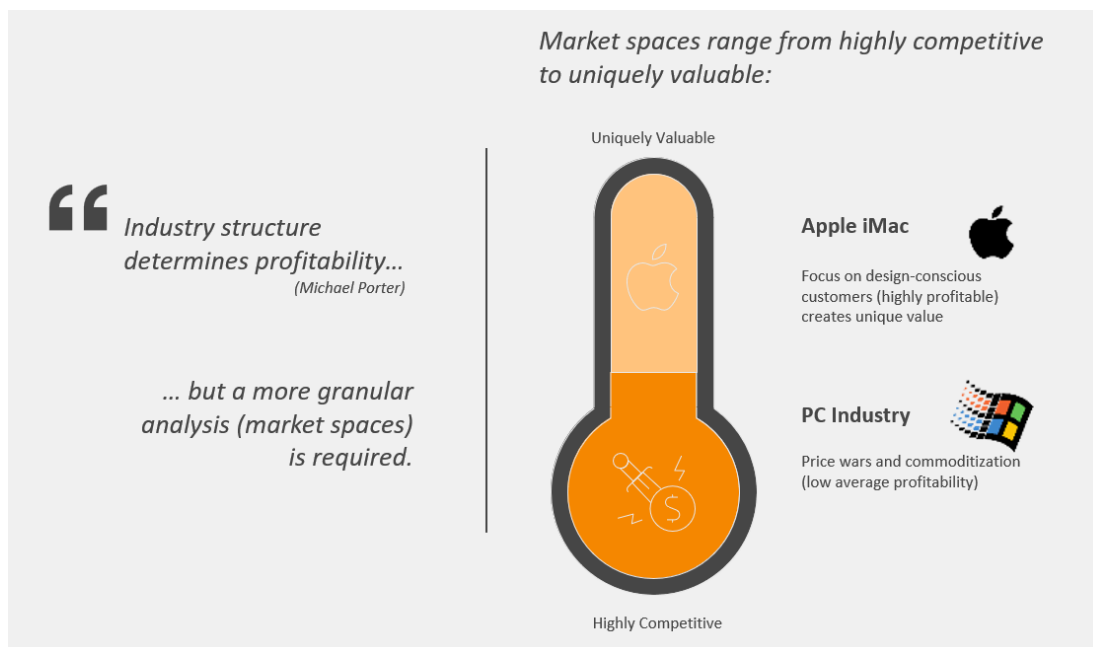
Section 1: Playing Field - What It Is and Why It Is Important

Welcome to our module on the Playing Field, a fundamental element of the strategy canvas. Today, we'll explore why choosing where to compete is crucial to achieve the short and long term winning ambition. This choice isn't just about picking markets - it's about defining the very boundaries of your competitive space and determining your potential for success.

This module is the first of three interconnected modules that guide you through the key strategic choices every organisation must make. Together, these modules form a comprehensive framework for strategic decision-making: the Playing Field (where to compete), the Value Proposition (how to win), and the Operating Model (how to deliver). Each choice builds upon and influences the others, creating a coherent and comprehensive framework for strategic choices. The Playing Field module establishes the foundation by helping you make deliberate choices about your competitive space, which will then inform and constrain your subsequent decisions about value proposition and operating model.

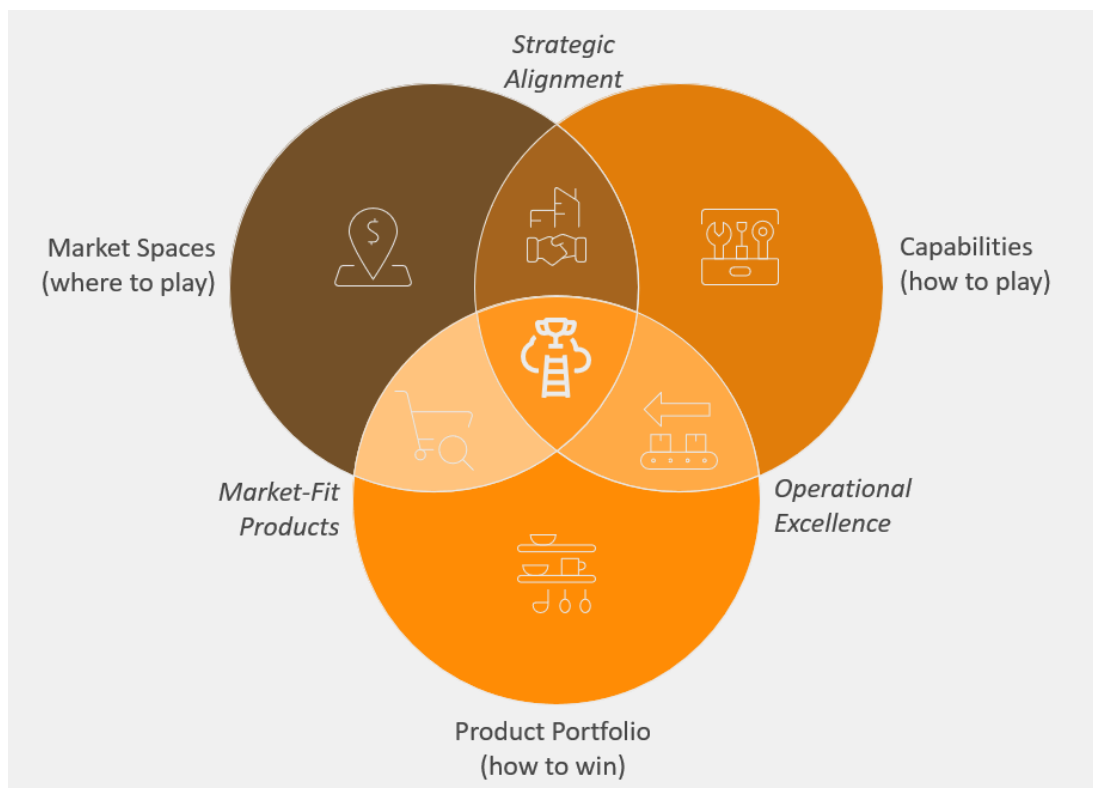


The playing field represents the specific arenas where your organisation chooses to compete - the customer segments and needs, product and service categories, distribution channels, geographies, and vertical scope where you'll focus your resources and efforts. But it's not just about where you will play; it's equally about where you will not play. This deliberate choice of boundaries is what separates strategy from execution.



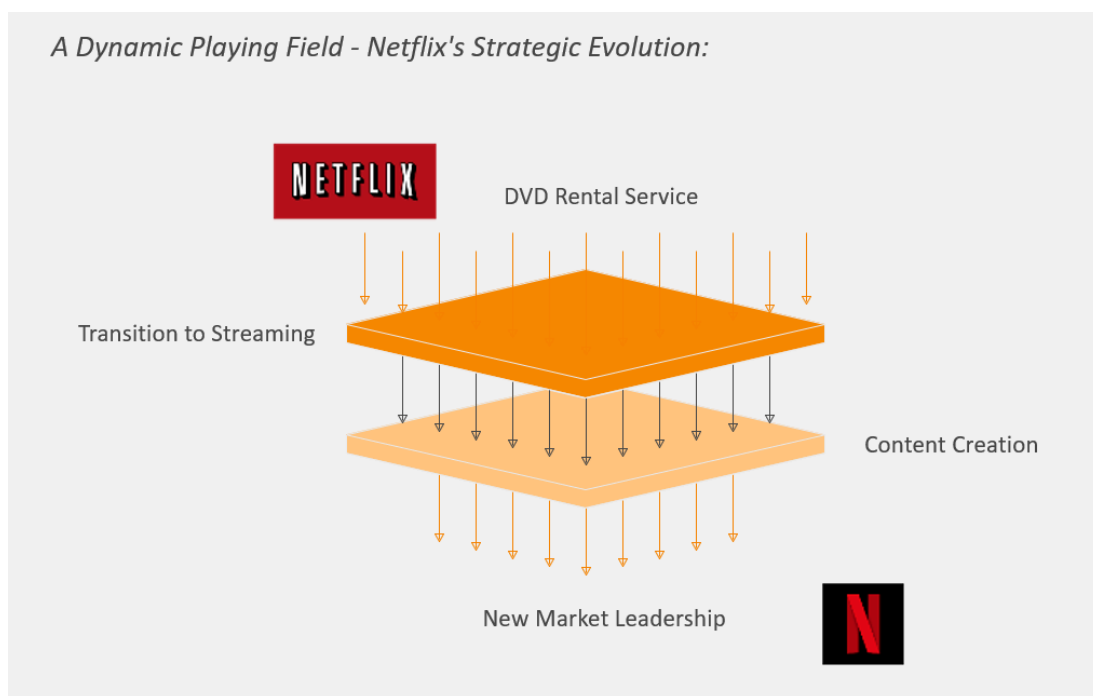
Why is this choice so important? Let me share a fundamental principle from Michael Porter: 'Industry structure determines profitability.' This means that the playing field you choose significantly impacts your potential for success. While it's often easy to see these differences when comparing different industries, the key is being able to understand such structural dynamics at a more granular level, breaking down industries into distinct and granular market spaces, which can yield powerful insights for strategic choice. Some market spaces are inherently more attractive than others even within an industry which overall may not be very attractive at all, and understanding this is crucial for strategic success. For example, when Apple launched the iMac in 1998, the PC industry was characterised by intense price competition and commoditisation. However, Apple identified and created a niche market space focused on design-conscious consumers who valued aesthetics, simplicity, and user experience over pure technical specifications. This allowed them to compete in a less crowded, more profitable segment of the PC market with higher margins and stronger brand differentiation.

Consider this: Would you rather compete in a market where everyone is fighting for the same customers with similar offerings, or in a space where you can create unique value that others can't easily match? The playing field module helps answer these questions.



The playing field is also about the strategic alignment between your choice of market spaces, capabilities, and product portfolio. When these elements work together, they create a sustainable competitive advantage that's difficult for competitors to copy. Amazon's playing field choices illustrate this perfectly: their expansion into new markets (e.g. AWS) is always supported by their core capabilities in logistics, technology, and customer service.

But here's where it gets interesting. The playing field isn't just about choosing from existing options. As Blue Ocean Strategy teaches us, you can actually create new market spaces. Think about how companies like Uber didn't just compete in the existing taxi market - they created a new playing field altogether by combining technology, convenience, and a different business model. Similarly, Airbnb didn't just enter the hotel market - they created a new playing field in accommodation services.



This brings us to a crucial point: The playing field is dynamic, not static. It evolves as technology changes, customer needs shift, and new opportunities emerge. Understanding its evolution is key to making smart playing field choices. Consider how Netflix transformed from a DVD

rental service to a streaming platform to a content creator - each evolution represented a deliberate choice to play in a different, more attractive field.

Core Concepts Defined

This module covers the following fundamental concepts drawn from strategic management literature:

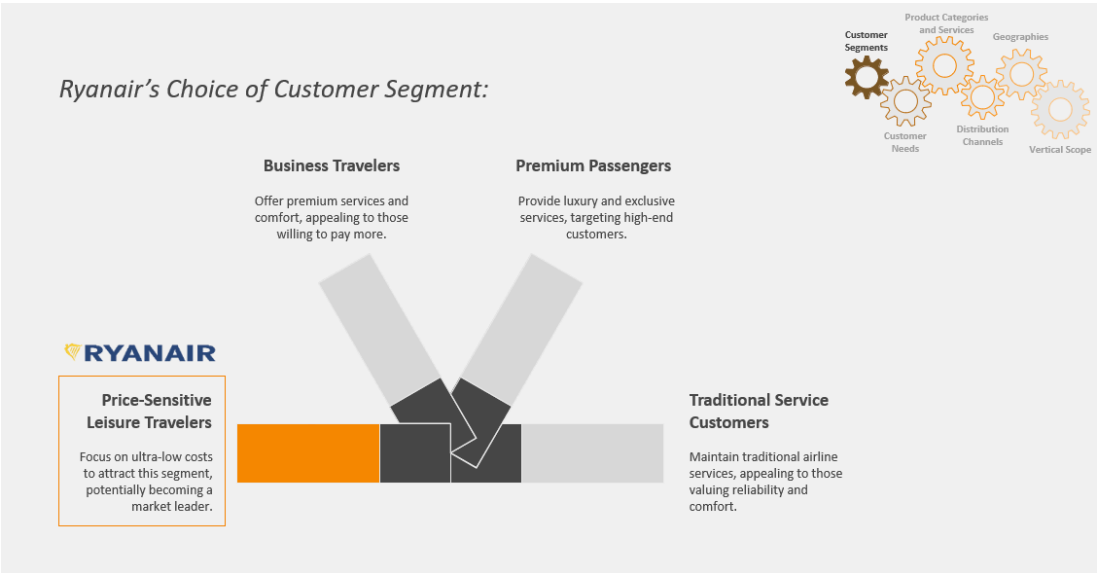
- **Market:** The arena where buyers and sellers interact to exchange goods and services, characterised by specific customer needs, competitive dynamics, and economic structures. Markets exist within value networks that define what constitutes quality, cost structure, and customer requirements. They encompass both existing market spaces with established boundaries and potential market spaces that can be created through innovation or redrawing boundaries. Markets are made up of multiple market spaces.
- **Market Space:** The total opportunity space defined by the intersection of customer segments and needs, geographies, product and service categories and distribution channels.
- **Attractiveness:** The profit potential of an industry (a group of firms producing products that are close substitutes for each other) determined by structural forces including competitive rivalry intensity, barriers to entry and exit, supplier bargaining power, buyer bargaining power, and threat of substitute products or services. These Five Forces determine how value created within an industry is divided among competitors, customers, suppliers, and other stakeholders. Attractiveness varies over time as industry structure evolves. An industry's attractiveness is the average of its market spaces; therefore specific market spaces within it will have higher or lower attractiveness.
- **Customer Segment:** Distinct groups of customers with similar needs, behaviours, purchasing patterns, circumstances, or jobs to be done that can be served with tailored value propositions. Effective segmentation goes beyond demographics to understand behavioural causation—why customers make purchasing decisions in specific circumstances. Segments can be defined by variety served, needs met, or access methods used.
- **Customer Need:** The fundamental "jobs" customers are trying to accomplish in specific circumstances, encompassing functional (practical outcome), emotional (feeling desired), and social (how others perceive) dimensions simultaneously. Customer needs represent the progress customers seek to make and the outcomes they want to achieve, rather than product features they want. Circumstances are more important than customer characteristics in determining needs.
- **Geography:** The spatial dimension of market selection, encompassing regions, countries, cities, or local areas where organisations choose to compete. Geographic choices involve understanding local competitive dynamics, customer requirements, regulatory environments, and cultural factors that affect value creation and capture. Geographic expansion can follow coherence principles by leveraging distinctive capabilities across markets.
- **Distribution Channel:** The pathways, intermediaries, and access methods through which products and services reach customers, including direct sales, retail partnerships, digital platforms, and other customer touchpoints. Channels are part of the value network context and can be sources of competitive advantage or constraint. Different channels may serve different customer segments or enable different value propositions.
- **Product Categories and Services:** The specific types of offerings an organisation can provide to accomplish customer jobs and serve their needs, involving deliberate choices about functional scope, feature sets, and positioning relative to alternatives. Categories should align with organisational capabilities and support strategic positioning rather than simply following market opportunities.
- **Product Portfolio:** The complete collection of products and services offered by an organisation, which should demonstrate strategic coherence by leveraging distinctive capabilities rather than pursuing financial diversification alone. Effective portfolios create synergies through shared capabilities, markets, or value propositions. Portfolio decisions should follow capability logic rather than purely financial metrics. An organisation's product portfolio is made up of all the categories of product and services they currently offer.

Section 2: Key Strategic Choices

Now, let's explore the specific choices you need to make about your playing field. These choices fall into several key dimensions, each with profound implications for your strategy:

1. Customer Segments

First, you need to choose your customer segments. This involves identifying which groups of customers you'll serve and which you'll explicitly not serve. Remember, trying to be all things to all people is a recipe for mediocrity. Take Tesla's approach: they started with high-end luxury electric vehicles targeted to a niche segment of early adopters, before moving into more mass-market segments, building their brand and capabilities along the way.



A powerful example of customer segment choice comes from Ryanair. While other airlines tried to serve all types of travelers, Ryanair made a deliberate choice to focus exclusively on extremely price-sensitive leisure travelers who prioritise low fares above all other considerations. They explicitly chose not to compete for business travelers, premium passengers, or customers who value traditional airline services. This focus enabled them to create a unique value proposition built around ultra-low costs that full-service airlines couldn't easily match, becoming Europe's largest airline by passenger numbers.

2. Customer Needs

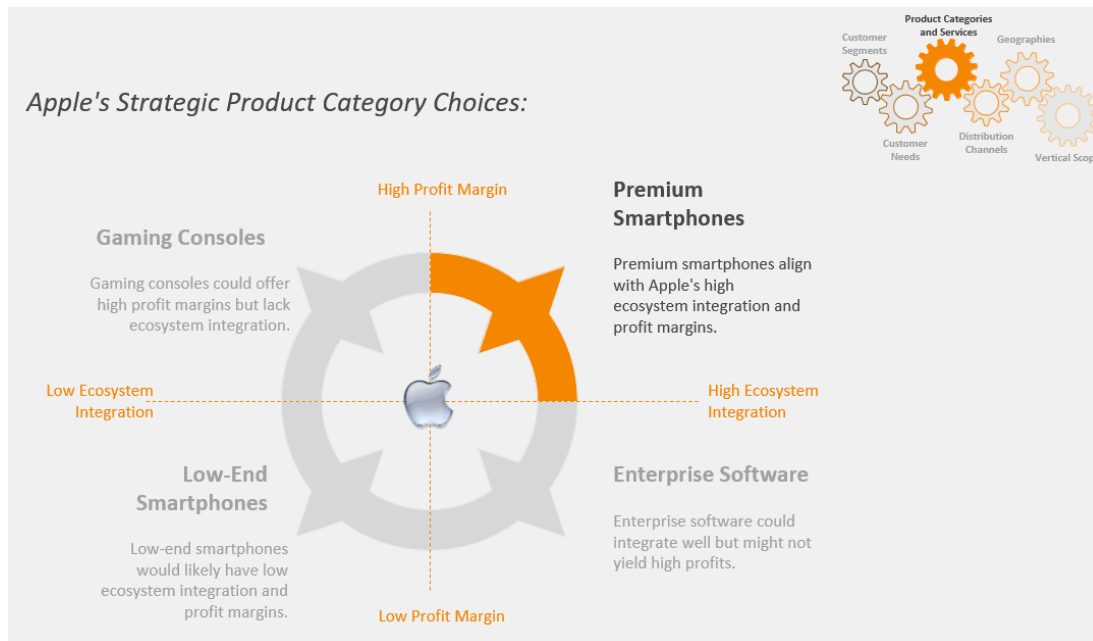
Second, you must choose which customer needs you will serve. This choice goes beyond traditional demographic or preference-based segmentation to understand the fundamental "jobs" customers are trying to accomplish in specific circumstances. Customers don't buy products—they "hire" them to accomplish specific jobs that encompass functional, emotional, and social dimensions simultaneously. Strategic focus requires deliberately choosing which jobs to help customers accomplish and which to leave to others. This choice determines how you'll create unique value and where you'll concentrate your resources. The key is identifying jobs that customers struggle to accomplish with existing solutions and where you can deliver superior outcomes compared to alternatives.



A compelling example of customer needs choice comes from Netflix's strategic evolution. While they could have tried to meet all entertainment needs - live sports, news, premium movies, gaming - they made deliberate choices about which customer needs to prioritise. Initially, they focused on the need for convenient access to a broad catalog of content, explicitly choosing not to compete on the latest releases or live programming. Later, they shifted to prioritise the need for high-quality original content and personalised recommendations. By making clear choices about which entertainment needs to serve, Netflix could optimise their technology platform, content acquisition strategy, and user experience in ways that generalist entertainment companies couldn't match.

3. Product Categories and Services

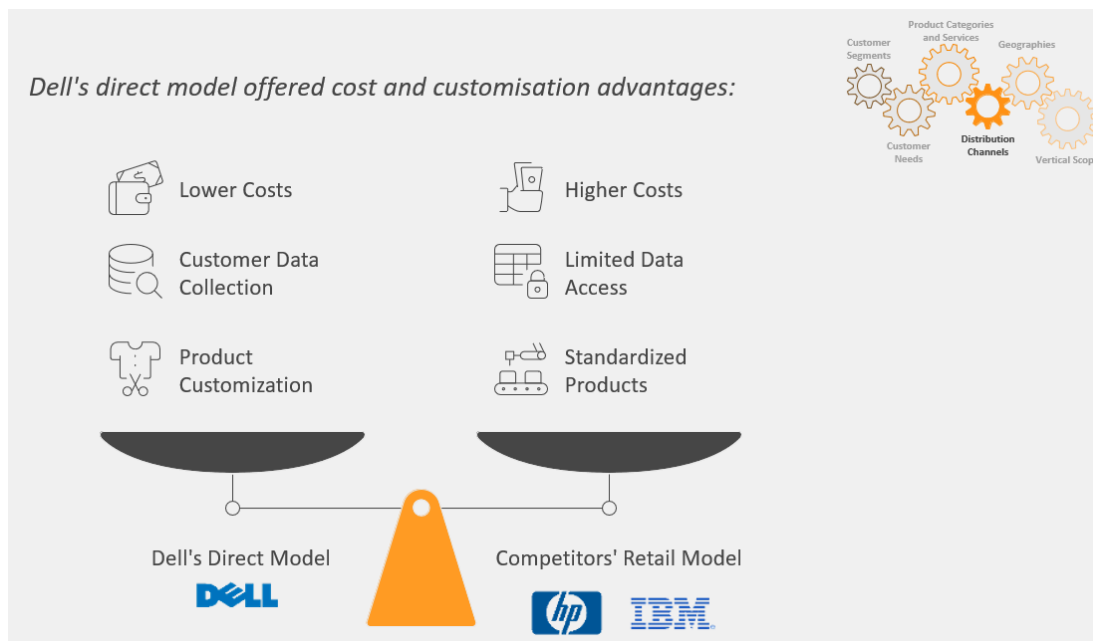
Third, there's the choice of product categories and services. What will you offer, and equally important, what won't you offer? This choice should align with your core capabilities and value proposition. Consider how Google has carefully chosen which products to develop internally versus which to acquire, always ensuring alignment with their core capabilities in data and technology.



A compelling example of product category choice comes from Apple's strategic focus. While many technology companies diversify into numerous product categories, Apple has maintained a remarkably focused portfolio of products that share common design principles, user experience, and ecosystem integration. They've explicitly chosen not to enter categories like gaming consoles, enterprise software, or low-end smartphones, despite having the technical capability to do so. This disciplined approach to product categories has been central to their ability to maintain premium positioning and high profit margins.

4. Distribution Channels

Fourth, you must decide on your distribution channels. How will you reach your customers? This choice can be as strategic as the choice of what you're selling.



A notable example of distribution channel choice comes from Dell's direct-to-consumer model in the 1990s. While competitors like HP and IBM relied on retail stores and resellers, Dell chose to sell directly to customers through phone and internet channels. This choice allowed them to reduce costs, gather customer data, and customise products to specific needs. Their channel choice became a key competitive advantage, enabling them to grow rapidly and achieve higher margins than their competitors.

5. Geographies

Fifth, there's the choice of geographic markets. Will you compete locally, regionally, or globally? This isn't just about size - it's about where your capabilities can create the most value. For instance, IKEA's careful geographic expansion strategy focused on markets with similar consumer preferences and regulatory environments, allowing them to leverage their standardised business model effectively.



A striking example of geographic market choice comes from Netflix's international expansion strategy. Rather than entering all markets simultaneously, Netflix carefully selected countries based on factors like broadband penetration, payment infrastructure, and content preferences. They started with Canada in 2010, then expanded to Latin America, Europe, and Asia in a deliberate sequence. This methodical approach allowed them to learn from each market entry and adapt their model accordingly, leading to successful global expansion while maintaining their core value proposition.

6. Vertical Scope

Finally, there's the choice of vertical scope in your product offering - how much of the value chain you'll serve your customers with. Will you focus on components, subsystems, or complete solutions? This choice defines what products you'll offer to your customers and at what level of integration.



A compelling example of vertical scope choice comes from Luxottica's strategic evolution, which culminated in its merger with Essilor to form EssilorLuxottica. Originally focused on manufacturing eyewear frames, Luxottica made deliberate choices to expand its vertical scope across the entire eyewear value chain. They moved upstream into lens technology through the Essilor merger, downstream into retail through acquisitions like LensCrafters and Sunglass Hut, and horizontally into luxury brands like Ray-Ban and Oakley. This comprehensive vertical scope strategy allowed them to capture value at every level of the eyewear industry - from lens manufacturing and frame design to retail distribution and brand management. By controlling the entire value chain, EssilorLuxottica can optimise margins, ensure quality consistency, and create barriers to entry that are difficult for competitors to overcome. This strategic choice of vertical scope has enabled them to become the dominant player in the global eyewear industry while maintaining premium positioning across multiple market segments.

Key Takeaway

But here's the key insight: These choices aren't independent. They need to work together to create a coherent strategy. For example, if you choose to serve high-end customers globally, your channel choices and product offerings need to align with that decision. The luxury fashion industry provides excellent examples of this coherence, where brands like Louis Vuitton carefully coordinate their product design, retail presence, and customer experience across global markets.

Section 3: Diagnostic Questions

Every company has made choices about its playing field, but these choices are often made unconsciously or emerge over time through a series of tactical decisions rather than strategic intent. For example, through aggressive M&A activities, companies can end up with a patchwork of products, services, and market positions that lack coherence. Similarly, responding to short-term opportunities or competitive pressures can lead to an accumulation of playing field choices that don't align with the company's core capabilities or strategic direction. This is why it's crucial for managers and leaders to systematically examine their current playing field choices through a comprehensive set of diagnostic questions. These questions help surface implicit choices, identify potential misalignments, and create a foundation for making more deliberate and coherent playing field decisions going forward.

Let's explore some key diagnostic questions in detail:

1. What markets do we currently operate in?

- Which customer segments do we serve today? Are they the most attractive segments?
- What specific needs and "jobs to be done" do we serve?
- What is our current product/service portfolio? How does it align with our capabilities?
- In which geographies do we have presence? Why these specific locations?
- What is our revenue breakdown in these market spaces? Where are we most profitable?
- What are our most significant channels to reach our customers? Do they yield significant differences in driving growth and profitability?
- Are we leaving on the table a significant share of the value created to our suppliers and/or channel customers? What are the options for a different level of vertical integration?

This first set of questions helps you map your current playing field and understand the historical choices that led you here. It's crucial to be brutally honest in this assessment - many companies discover they're operating in markets they never consciously chose to enter. Look for patterns in your market presence and question whether they reflect strategic intent or historical accident.

Data Sources for Current Market Analysis: The table below shows which information sources are most valuable for understanding your current market position. Internal sources like leadership interviews and management systems provide the foundation, while customer-facing staff offer crucial insights into actual market dynamics and customer needs.

Question 1 Data Sources	Interviews with Leadership Team	Pre-existing Strategy Documents	Management Control System	CRM and Sales Data	Interviews with Sales Personnel/Customer Facing Staff	Customer Surveys/Interviews
Which customer segments do we serve today?	Yes	Yes		Yes	Yes	
What specific needs and "jobs to be done" do we serve?	Yes				Yes	Yes
What is our current product/service portfolio?	Yes	Yes		Yes	Yes	
In which geographies do we have presence?	Yes	Yes		Yes	Yes	
What is our revenue breakdown in these market spaces? Where are we most profitable?			Yes	Yes		
What are our most significant channels to reach customers?	Yes		Yes	Yes	Yes	Yes
What are the options for different levels of vertical integration?	Yes	Yes			Yes	

2. What are the key competitors and where do they play?

- Who are our principal competitors in each market space?
- How can we cluster them in "strategic groups" with similar competitive positions?

- What market share and positioning do they hold?
- In what market spaces are they winning vs where are they challengers, followers or minor players?
- In which adjacent markets or channels are they active?
- What are their core offerings and how do they differ from ours?

Understanding your competitive landscape is crucial for making informed playing field choices. Look beyond direct competitors to include potential entrants and substitute providers. Consider how competitors' choices might evolve, and how this could impact your ability to compete effectively in different market spaces.

Data Sources for Competitive Intelligence: Competitive analysis requires a combination of external market research and insights from people who interact with competitors regularly. Key Opinion Leaders and sales personnel are particularly valuable as they often have direct knowledge of competitive activities and positioning that may not be captured in formal reports.

Question 2 Data Sources	Interviews with Leadership Team	Pre-existing Strategy Documents	Market Research Reports	Interviews with Key Opinion Leaders (KOLs)	Interviews with Sales Personnel/Customer Facing Staff	Customer Surveys/Interviews
Who are our principal competitors in each market space?	Yes		Yes	Yes	Yes	Yes
How can we cluster them in "strategic groups"?	Yes	Yes	Yes	Yes	Yes	Yes
What market share and positioning do they hold?		Yes	Yes	Yes	Yes	
In what market spaces are they winning vs challengers?		Yes	Yes	Yes	Yes	
In which adjacent markets or channels are they active?		Yes	Yes	Yes	Yes	Yes
What are their core offerings vs ours?	Yes	Yes	Yes	Yes	Yes	Yes

3. What sets us apart from them?

- Do we serve customer segments that competitors ignore?
- Do we have a distinctive position in terms of our choice of offerings?
- Do we operate via distinctive channels?
- Are we operating in different geographies than our key competitors?
- How sustainable is our competitive position in the playing field?

These questions help you identify your unique position in the market and assess whether it's sustainable. The goal is to find spaces where you can create and capture value in ways that competitors can't easily replicate. Be honest about whether your current advantages are temporary or structural, and whether they're sufficient to support your chosen playing field.

Data Sources for Competitive Differentiation: Understanding what sets you apart requires both internal perspective and external validation. Leadership interviews provide strategic context, while customer surveys and sales staff insights reveal whether your perceived differentiation actually resonates in the market. Performance data helps validate the sustainability of your competitive advantages.

Question 3 Data Sources	Interviews with Leadership Team	Pre-existing Strategy Documents	Market Research Reports	Interviews with Sales Personnel/Customer Facing Staff	Industry Databases and Benchmarks	Customer Surveys/Interviews
Do we serve customer segments that competitors ignore?	Yes		Yes	Yes	Yes	Yes
Do we have a distinctive position in our choice of offerings?	Yes	Yes	Yes	Yes	Yes	Yes
Do we operate via distinctive channels?	Yes		Yes	Yes	Yes	Yes
Are we operating in different geographies than key competitors?	Yes	Yes	Yes	Yes	Yes	
How sustainable is our competitive position?	Yes	Yes	Yes	Yes	Yes	

4. What adjacencies should we consider?

- Which adjacent or new products, segments, channels, or geographies could we enter?
- Is there any adjacent or new market space where key competitors are already playing and which could be interesting for us?
- Which of these adjacencies would leverage our core capabilities?
- Is there any underserved customer segment which we could target?
- Is there any critical need or "job to be done" for our customer segments which we could serve more, by extending our offerings?
- Can we create unique value in these spaces?

These questions help you identify potential growth opportunities that build on your current position. The key is to focus on adjacencies that leverage your existing capabilities and create value that competitors can't easily match. Be wary of opportunities that look attractive but require capabilities you don't possess or can't easily develop.

Data Sources for Adjacency Analysis: Identifying growth adjacencies requires the broadest range of data sources. Market research and industry databases reveal external opportunities, while customer insights help identify unmet needs. Internal sources help assess capability fit, and external stakeholders provide market validation for potential expansion areas.

Question 4 Data Sources	Interviews with Leadership Team	Pre- existing Strategy Documents	Market Research Reports	Interviews with Key Opinion Leaders (KOLs)	Interviews with Sales Personnel/Customer Facing Staff	Industry Databases and Benchmarks	Customer Surveys/Interviews
Which adjacent/new products, segments, channels could we enter?	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Where are key competitors already playing that's interesting?			Yes	Yes	Yes	Yes	
Which adjacencies would leverage our core capabilities?	Yes	Yes		Yes	Yes		
Is there any underserved customer segment we could target?	Yes		Yes	Yes	Yes		Yes
What critical "job to be done" could we serve by extending offerings?	Yes		Yes	Yes	Yes		Yes
Can we create unique value in these spaces?	Yes	Yes		Yes	Yes		Yes

5. What are the characteristics of those markets, both existing and adjacent/new?

- What is the historical and projected market size?
- What average growth rates and profitability metrics do we observe?
- What is the attractiveness of those markets and What structural forces affect it?
- Which emerging trends are shaping these markets?
- How might technology, regulation, social, economic and political trends may change these markets? What are the implications for us and our customers?

This set of questions forces you to look beyond surface-level attractiveness and understand the fundamental dynamics of your markets. Pay special attention to how these characteristics might change over time, as today's attractive market might become tomorrow's competitive battleground. Consider both quantitative metrics and qualitative factors that could impact long-term success.

Data Sources for Market Dynamics: Understanding market characteristics relies heavily on external sources. Market research reports and industry databases provide quantitative metrics, while Key Opinion Leaders and customer insights offer qualitative perspectives on trends and future developments. These external sources are essential since internal data may not capture broader market dynamics.

Question 5 Data Sources	Market Research Reports	Interviews with Leadership team	Interviews with Key Opinion Leaders (KOLs)	Industry Databases and Benchmarks	Customer Surveys/Interviews
What is the historical and projected market size?	Yes		Yes	Yes	
What average growth rates and profitability do we observe?	Yes		Yes	Yes	
What is the attractiveness and structural forces?	Yes	Yes	Yes	Yes	
Which emerging trends are shaping these markets?	Yes	Yes	Yes	Yes	Yes
How might trends change these markets and implications?	Yes	Yes	Yes	Yes	Yes

6. How can we meaningfully synthesise and prioritise among the key opportunities and threats?

- What are the distinct opportunities for increasing market penetration?
- what are the distinct opportunities for market extension?
- what are the distinct opportunities for product/service extension?
- What are the distinct opportunities for channel extension?
- How much are these opportunities and threats worth in terms of revenues and profit?

This final set of questions helps you assess the future viability of your current playing field and identify potential pivots or adjustments. Consider both immediate opportunities and threats, as well as longer-term trends that could reshape your competitive landscape. Look for ways to proactively shape your playing field rather than just reacting to external changes.

Data Sources for Diagnostic Synthesis: Prioritising opportunities and threats requires integrating insights from multiple sources. Internal performance data and leadership perspective provide the foundation, while external market intelligence helps validate and quantify opportunities. This synthesis phase benefits from the broadest range of inputs to ensure comprehensive strategic assessment.

Question 6 Data Sources	Interviews with Leadership Team	Pre-existing Strategy Documents	Interviews with Key Opinion Leaders (KOLs)	Interviews with Sales Personnel/Customer Facing Staff	Customer Surveys/Interviews
What are opportunities for increasing market penetration?	Yes	Yes	Yes	Yes	

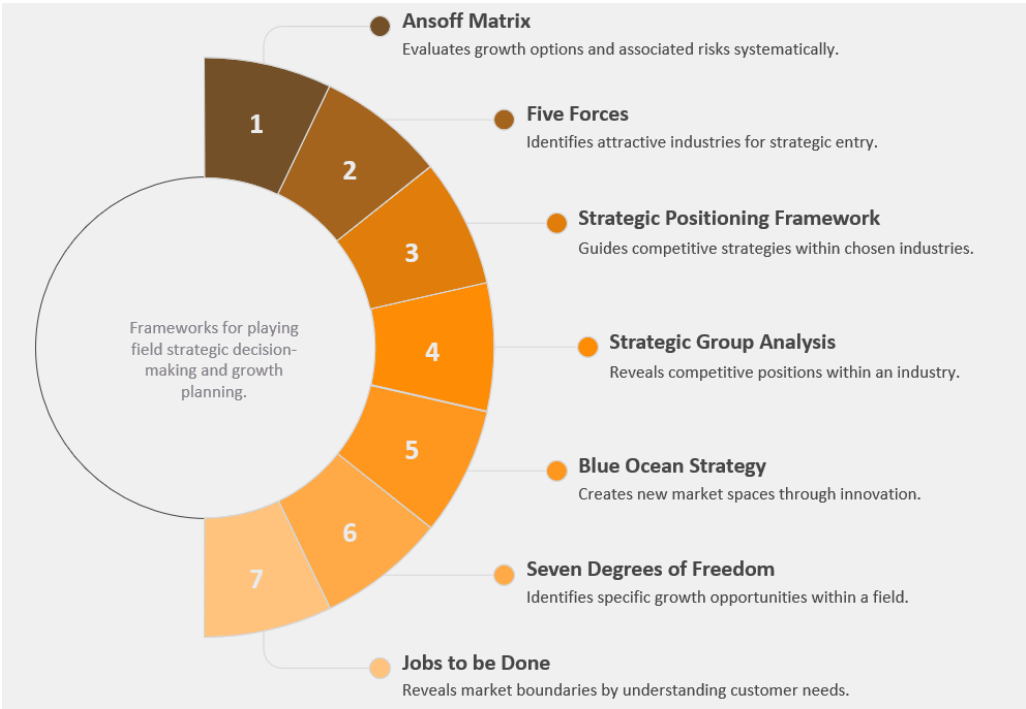
Question 6 Data Sources	Interviews with Leadership Team	Pre-existing Strategy Documents	Interviews with Key Opinion Leaders (KOLs)	Interviews with Sales Personnel/Customer Facing Staff	Customer Surveys/Interviews
What are opportunities for market extension?	Yes	Yes	Yes	Yes	
What are opportunities for product/service extension?	Yes	Yes	Yes	Yes	
What are opportunities for channel extension?	Yes	Yes	Yes	Yes	
How much are opportunities/threats worth in revenue/profit?	Yes		Yes	Yes	

Section 4: Typical Outputs

to be done manually then use prompts for improvement

Section 5: Key Concepts and Frameworks underpinning the Playing Field

Let’s conclude with an in-depth exploration of the most fundamental frameworks that underpin playing field decisions. These frameworks provide the theoretical foundation for making effective choices about where to compete.



These seven frameworks provide complementary perspectives on playing field selection and opportunity identification. The Ansoff Matrix helps systematically evaluate growth options and their associated risks, the Five Forces helps identify attractive industries, the Strategic Positioning Framework guides how to compete within those industries, Strategic Group Analysis reveals competitive positions within an industry, the Blue Ocean Strategy offers a path to creating new market spaces, the Seven Degrees of Freedom helps identify specific growth opportunities within

your chosen playing field, and Jobs to be Done reveals new market boundaries by understanding customer circumstances and struggles. Together, they form a comprehensive foundation for making effective playing field choices and maximising growth potential.

Remember, the playing field is not just about where you compete today, but where you'll compete tomorrow. It's about making deliberate choices that create sustainable advantage and enable you to win in the marketplace. The most successful companies don't just choose their playing field - they shape it to their advantage.

1. The Ansoff Matrix

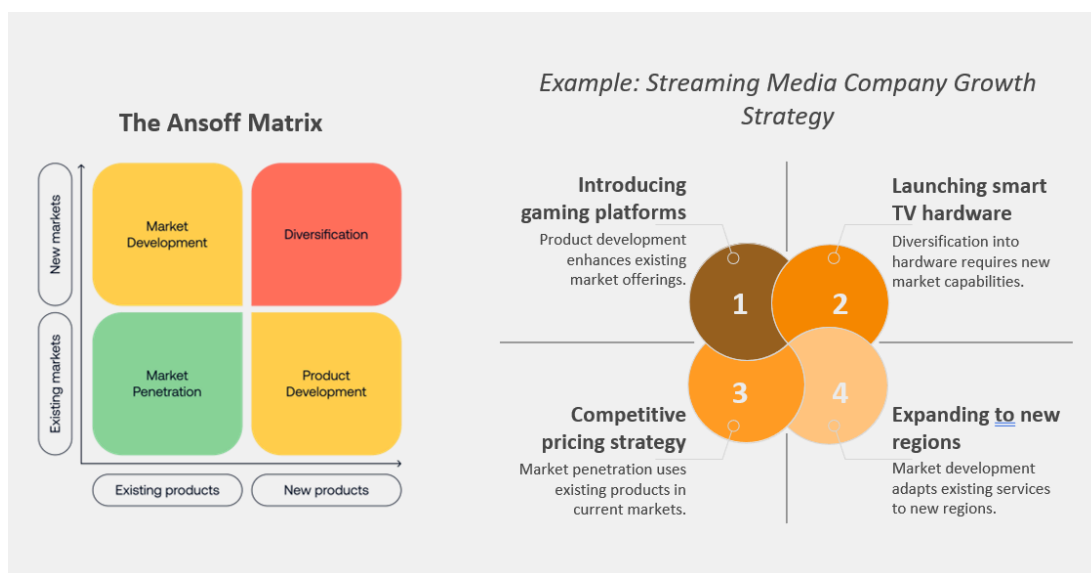
(Corporate Strategy, Igor Ansoff, 1965)

The Ansoff Matrix, also known as the Product/Market Expansion Grid, is a strategic planning framework that helps organisations identify and evaluate growth opportunities by examining four distinct growth strategies based on combinations of existing and new products and markets. Developed by Igor Ansoff in 1957, this matrix provides a systematic approach to playing field selection by categorising growth options into four quadrants:

- **Market Penetration:** Increasing sales of existing products in existing markets through competitive pricing, enhanced marketing, customer loyalty programs, or acquiring competitors
- **Market Development:** Introducing existing products into new markets, such as new geographic regions, customer segments, or distribution channels
- **Product Development:** Creating new products for existing markets by leveraging current customer relationships and market knowledge
- **Diversification:** Entering new markets with new products, which can be either related (leveraging existing capabilities) or unrelated (completely new business areas)

The Ansoff Matrix is particularly valuable for playing field decisions because it provides a risk-assessment framework for growth strategies. Market penetration represents the lowest risk as it builds on existing strengths, while diversification carries the highest risk but potentially the greatest rewards. The matrix helps organisations systematically evaluate where to compete by considering both the familiarity of the market and the product, enabling more informed resource allocation and strategic planning decisions.

It's important to note that the application of the Ansoff Matrix varies depending on the strategic level. At the corporate strategy level, the framework examines entirely "new" areas of products and customers that may be completely unrelated to the company's current business portfolio. For example, a technology company entering the healthcare sector or a retailer launching financial services. However, at the business unit strategy level, the same conceptual framework applies to areas of "adjacency" - opportunities that are related to but extend beyond the current business scope. For a business unit, "new products" might mean extending an existing product line, and "new markets" might mean targeting a related customer segment or geographic region. This distinction is crucial for properly calibrating risk assessment and resource requirements when applying the matrix.



Example: Streaming Media Company Growth Strategy

Consider a regional streaming service evaluating expansion using the Ansoff Matrix:

- **Market Penetration:** Increase subscriber base in current market spaces through competitive pricing, exclusive content deals, and enhanced user experience features
- **Market Development:** Expand the same streaming service to new geographical regions or customer segments, adapting content libraries for local and customer preferences and regulatory requirements
- **Product Development:** Launch new services for existing subscribers such as gaming platforms, live sports streaming, or interactive content experiences
- **Diversification:** Enter entirely new markets like producing and selling smart TV hardware or launching a music streaming service targeting different demographics

This systematic analysis helps the company understand that market penetration might offer steady growth with minimal risk, while diversification into hardware would require significant new capabilities and carry substantial risk, but could create new revenue streams and reduce dependence on subscription models.

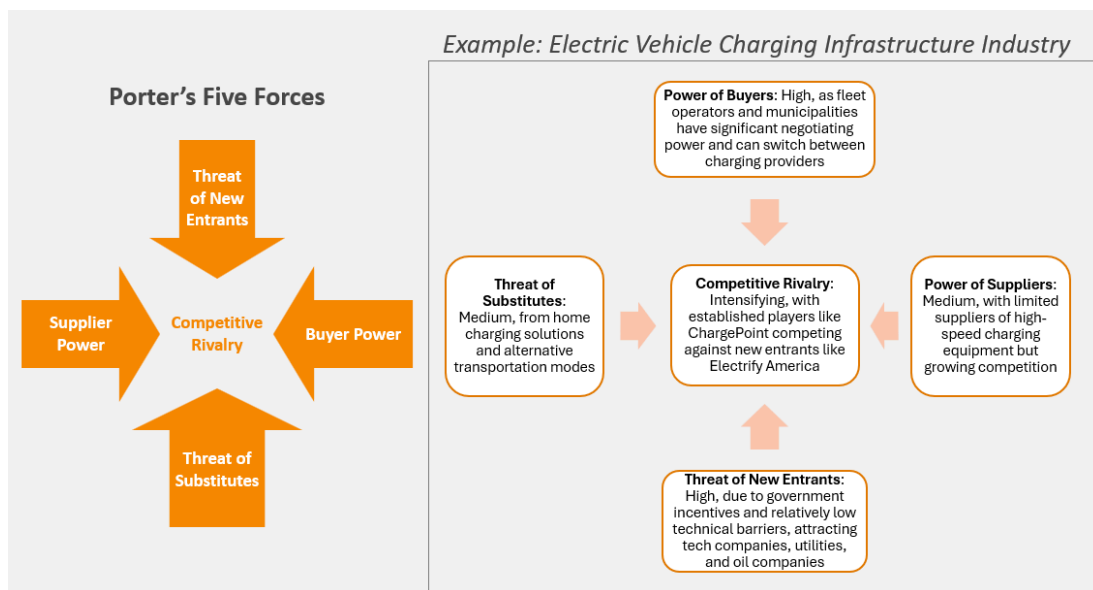
2. The Five Forces Framework

(Competitive Strategy, Michael Porter, 1980)

This framework analyses the competitive forces that shape industry profitability and attractiveness. The five forces are:

- **Bargaining Power of Buyers:** How much power do customers have to negotiate prices and terms? This is influenced by factors like buyer concentration, switching costs, and the importance of the product to the buyer.
- **Bargaining Power of Suppliers:** How much power do suppliers have to influence prices and terms? This depends on supplier concentration, uniqueness of inputs, and switching costs.
- **Threat of New Entrants:** How easy is it for new competitors to enter the market? Barriers to entry can include economies of scale, capital requirements, and regulatory hurdles.
- **Threat of Substitutes:** What alternatives exist for customers? This includes both direct substitutes and indirect alternatives that satisfy the same need.
- **Competitive Rivalry:** How intense is the competition among existing players? This is shaped by factors like industry growth, fixed costs, and exit barriers.

The Five Forces framework is crucial for playing field selection because it helps identify structurally attractive industries and segments. It explains why some industries are inherently more profitable than others and provides a foundation for strategic positioning decisions. The framework also helps predict how industry structure might evolve over time, enabling more informed choices about where to compete.



Example: Electric Vehicle Charging Infrastructure Industry

Consider a company evaluating entry into the electric vehicle (EV) charging infrastructure market in the US. Using the Five Forces analysis:

- **Bargaining Power of Buyers:** High, as fleet operators and municipalities have significant negotiating power and can switch between charging providers
- **Bargaining Power of Suppliers:** Medium, with limited suppliers of high-speed charging equipment but growing competition

- **Threat of New Entrants:** High, due to government incentives and relatively low technical barriers, attracting tech companies, utilities, and oil companies
- **Threat of Substitutes:** Medium, from home charging solutions and alternative transportation modes
- **Competitive Rivalry:** Intensifying, with established players like ChargePoint competing against new entrants like Electrify America

This analysis reveals a structurally challenging industry with intense competition and powerful buyers, suggesting the need for a differentiated positioning or focus on specific segments with better dynamics.

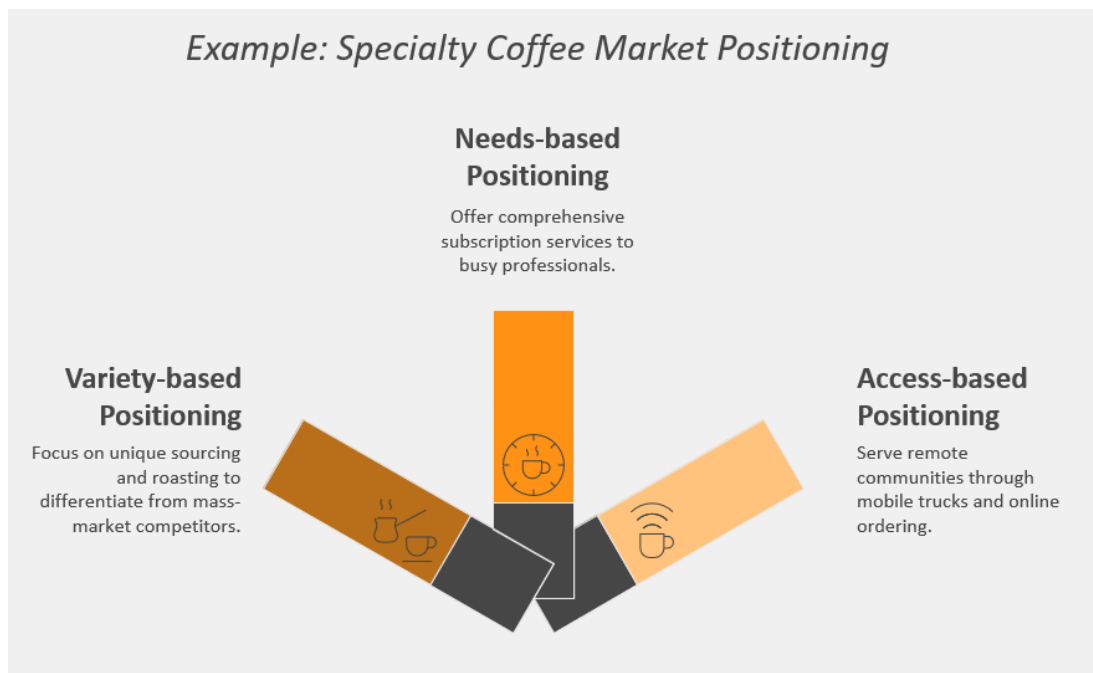
3. The Strategic Positioning Framework

(What is Strategy?, Michael Porter, 1996)

This framework identifies three distinct sources of strategic positions that should guide playing field choices:

- **Variety-based Positioning:** Offering a subset of industry products or services using distinctive activities. This approach focuses on specific product or service categories where you can create unique value. For example, a company might choose to compete only in high-end luxury products or specialised technical solutions.
- **Needs-based Positioning:** Serving most or all needs of particular customer groups through tailored activities. This approach focuses on specific customer segments and their complete set of needs. For instance, a company might choose to serve all the needs of small businesses or healthcare providers.
- **Access-based Positioning:** Serving customers who are accessible in different ways, requiring different activity configurations. This approach focuses on how customers are reached and served, regardless of their needs or the products they buy. An example would be focusing on customers in specific geographic regions or those who prefer particular channels.

The Strategic Positioning Framework is essential for playing field decisions because it provides systematic approaches for finding and developing unique competitive positions. It helps ensure that your playing field choices enable you to be different from competitors in ways that are valuable to customers and difficult to copy.



Example: Specialty Coffee Market Positioning

A coffee company could pursue different strategic positions:

- **Variety-based Positioning:** Focus exclusively on single-origin, direct-trade coffees using distinctive sourcing and roasting activities that mass-market competitors cannot easily replicate
- **Needs-based Positioning:** Serve busy urban professionals by offering all their coffee needs through a subscription service that includes equipment, beans, and maintenance—requiring different activities than traditional retail coffee companies
- **Access-based Positioning:** Target remote rural communities through mobile coffee trucks and online ordering, requiring different logistics and service activities than urban-focused competitors

Each position requires different activities and serves different customers, demonstrating how strategic positioning shapes both playing field selection and operational design.

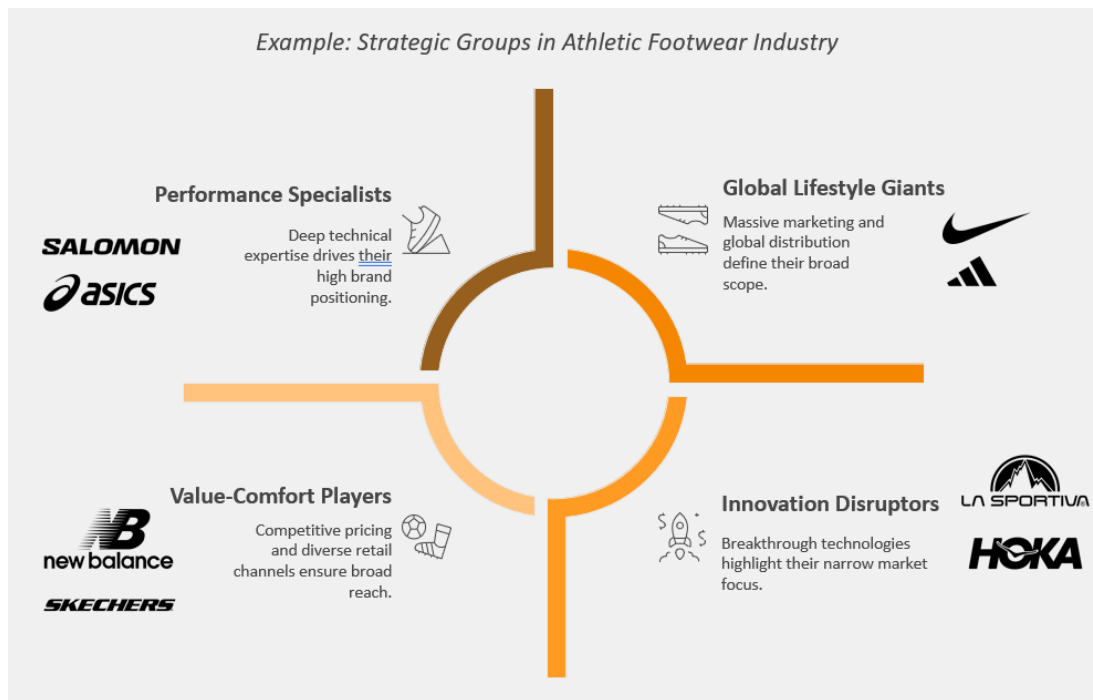
4. Strategic Group Analysis

(Competitive Strategy, Michael Porter, 1980)

While the Five Forces framework analyses industry-wide profitability, Strategic Group Analysis offers a more granular view within an industry. It is a framework for understanding the competitive landscape by clustering firms within an industry into groups based on their strategic similarities. Companies in the same strategic group pursue similar strategies with similar resources and are therefore direct competitors. Strategic groups are defined along key strategic dimensions, which can include:

- **Specialisation:** The breadth of the product line or the target customer segments.
- **Brand Identification:** The extent of branding and marketing investment.
- **Channel Selection:** The choice of distribution channels (e.g., direct, retail, online).
- **Product Quality:** The level of perceived quality, features, and technology.
- **Cost Position:** The structural cost position (e.g., low-cost vs. high-cost).
- **Vertical Integration:** The degree of control over the value chain.
- **Geographic Scope:** Local, regional, national, or global reach.

Strategic Group Analysis is vital for playing field decisions because it reveals the structure of competition within an industry. By mapping strategic groups, you can identify 'white spaces'—unoccupied or underserved strategic positions that offer attractive opportunities. It also helps to understand mobility barriers, which are factors that deter movement of firms from one strategic position to another. Understanding these barriers is key to assessing the sustainability of a chosen strategic position and predicting potential competitive moves.



Example: Athletic Footwear Industry Strategic Groups

In the athletic footwear industry, strategic groups can be mapped based on brand positioning and market scope:

- **Global Lifestyle Giants:** Nike, Adidas—massive marketing budgets (\$3B+), celebrity endorsements, global distribution, premium pricing across performance and lifestyle segments
- **Performance Specialists:** Brooks, ASICS, Salomon—deep technical expertise in specific sports, moderate marketing focused on performance benefits, specialised retail channels
- **Innovation Disruptors:** Hoka, On Running, Allbirds—breakthrough technologies or materials, direct-to-consumer focus, rapid growth in premium segments
- **Value-Comfort Players:** Skechers, New Balance, Puma—broad product ranges, competitive pricing, diverse retail including discount channels, emphasis on comfort over performance

A new entrant might identify white space opportunities in "sustainable performance footwear for serious athletes" or "premium technical shoes sold exclusively through digital channels." Key mobility barriers include brand recognition requiring massive marketing investment, retail relationships that take years to develop, and technical credibility demanding substantial R&D capabilities and athlete endorsements.

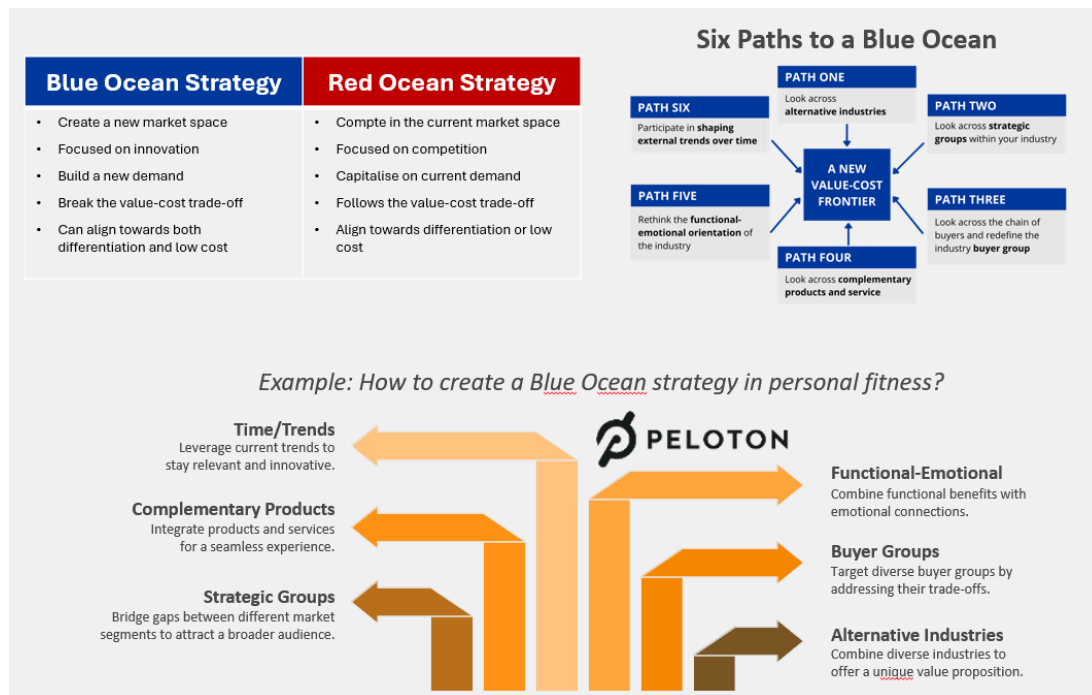
5. The Blue Ocean Strategy Framework

(Blue Ocean Strategy, W. Chan Kim & Renée Mauborgne, 2005)

This framework challenges the traditional approach to playing field selection by providing a systematic methodology to identify and evaluate new market spaces. It offers six paths to reconstruct market boundaries:

- **Path 1: Look Across Alternative Industries:** Consider industries that provide different functions and forms but serve the same purpose. For example, restaurants, fast food, and grocery stores all serve the purpose of providing meals.
- **Path 2: Look Across Strategic Groups:** Examine different strategic groups within your industry that pursue similar strategies. For instance, luxury car manufacturers versus economy car manufacturers.
- **Path 3: Look Across Buyer Groups:** Consider different groups in the purchasing chain, such as end users, influencers, and purchasers.
- **Path 4: Look Across Complementary Products:** Examine the context in which products/services are used, including before, during, and after use.
- **Path 5: Look Across Functional-Emotional Orientation:** Consider whether to compete on functional benefits or emotional appeal.
- **Path 6: Look Across Time:** Identify and shape trends over time that could create new market spaces.

The Blue Ocean Strategy Framework is particularly valuable for playing field decisions because it enables organisations to reconstruct market boundaries and create entirely new competitive spaces rather than competing within existing industry definitions. It provides a systematic approach to identifying untapped market opportunities and creating new demand.



Example: Creating a Blue Ocean in Personal Fitness

Consider how Peloton created a blue ocean by reconstructing market boundaries:

- **Path 1 (Alternative Industries):** Combined home fitness equipment, live fitness classes, and social networking—traditionally separate industries
- **Path 2 (Strategic Groups):** Bridged the gap between expensive boutique fitness studios and basic home equipment
- **Path 3 (Buyer Groups):** Targeted both fitness enthusiasts and convenience-seekers who previously made trade-offs between quality and accessibility
- **Path 4 (Complementary Products):** Integrated the bike, content, community, and metrics into one seamless experience
- **Path 5 (Functional-Emotional):** Combined functional fitness benefits with emotional community connection and achievement recognition
- **Path 6 (Time/Trends):** Leveraged trends toward connected devices, on-demand content, and work-from-home lifestyles

This systematic reconstruction created an uncontested market space that made traditional gym memberships and home equipment less relevant, demonstrating how blue ocean thinking can redefine playing field boundaries.

6. The Seven Degrees of Freedom Framework

(The Alchemy of Growth, Mehrdad Baghai, Stephen Coley & David White, 1999)

Once you've chosen your playing field, this framework provides a systematic approach to identifying specific growth opportunities within that space. It examines seven distinct dimensions of opportunity, ranking them from the lowest to the highest risk:

- **Selling More to Existing Customers:** Deepening relationships with current customers by understanding their broader needs and offering additional products or services. For example, a bank might expand from basic checking accounts to offering investment services, insurance, and wealth management to its existing customer base.
- **Acquiring New Customers:** Reaching new customer segments within your chosen market space. This could involve targeting different demographic groups, geographic regions, or customer types that share similar needs to your current customers.
- **Introducing New Products:** Developing new offerings that complement your existing product portfolio and leverage your current capabilities. This might include product line extensions, new product categories, or enhanced versions of existing products.
- **Creating New Delivery Systems:** Finding innovative ways to reach and serve customers. This could involve new distribution channels, service delivery methods, or business models that make your offerings more accessible or convenient.
- **Entering New Geographies:** Expanding your presence to new locations while maintaining your core value proposition. This includes both domestic expansion and international growth opportunities.
- **Restructuring Industry Value Chains:** Identifying opportunities to capture more value by moving into adjacent parts of the value chain. This might involve backward integration (supplier activities) or forward integration (customer-facing activities).
- **Moving into New Competitive Arenas:** Exploring opportunities to leverage your capabilities in related but distinct market spaces. This involves identifying new applications for your core competencies or entering adjacent markets.

The Seven Degrees of Freedom Framework is particularly valuable for playing field decisions because it provides a comprehensive checklist for identifying growth opportunities within your chosen market space. It helps ensure you're not missing potential avenues for growth and provides a structured way to evaluate different options. The framework is especially useful for companies that have already defined their playing field and are looking to maximise their growth potential within that space. The framework encourages to first make sure that all the lower-risk areas of opportunities are fully exploited before moving to the next degree of freedom.

Seven Degrees of Freedom Framework		Example: Regional Bank Growth Strategy
1. Maximizing Existing Customers	Maximize existing customers by selling offerings to existing customers. Perhaps the most obvious, but also the most limited, of the selections on the list.	Cross-sell investment services and insurance to current checking account holders
2. Attracting New Customers	Enticing new customers in an existing market. Tactics involve looking for a way to get new markets to buy existing offerings.	Target underbanked small businesses in existing geographic markets through specialized relationship managers
3. Innovation of Product and Services	The most common strategy nowadays business took. Creating new products and services for existing or new customers.	Launch digital-only savings accounts with competitive rates to attract tech-savvy customers
4. Innovation of the Value Delivery System	Growing in Business means associating yourself with other successful, reorganized organizations is surely a possible area for growth but should be approached sensibly.	Develop mobile banking trucks for rural communities and pop-up branches in growing suburbs
5. Improving Industry Structure	Growing in Business means associating yourself with other successful, reorganized organizations is surely a possible area for growth but should be approached sensibly.	Partner with fintech companies to offer embedded banking services within e-commerce platforms
6. Geographical Expansion	This would often be referred to purely as diversification. Moving your company into new areas where you can contest for new customers is one way to open yourself up to the potential for fast development.	Expand to adjacent metropolitan areas with similar demographics and regulatory environments
7. Stepping out into New Business Arenas	Enter in the new business arena around vertical integration.	Enter commercial real estate lending, leveraging existing customer relationships and market knowledge

Example: Regional Bank Growth Strategy

A regional bank could systematically explore growth using the seven degrees:

- **Selling More to Existing Customers:** Cross-sell investment services and insurance to current checking account holders
- **Acquiring New Customers:** Target underbanked small businesses in existing geographic markets through specialised relationship managers
- **Introducing New Products:** Launch digital-only savings accounts with competitive rates to attract tech-savvy customers
- **Creating New Delivery Systems:** Develop mobile banking trucks for rural communities and pop-up branches in growing suburbs
- **Entering New Geographies:** Expand to adjacent metropolitan areas with similar demographics and regulatory environments
- **Restructuring Industry Value Chains:** Partner with fintech companies to offer embedded banking services within e-commerce platforms

- **Moving into New Competitive Arenas:** Enter commercial real estate lending, leveraging existing customer relationships and market knowledge

This systematic analysis ensures the bank considers all growth vectors within its chosen playing field of regional banking, while maintaining strategic coherence around its core capabilities in relationship banking and local market knowledge.

7. Integration along the customers' Jobs to be Done

(Know Your Customers' "Jobs to Be Done", Clayton M. Christensen, Taddy Hall, Karen Dillon & David S. Duncan, 2016)

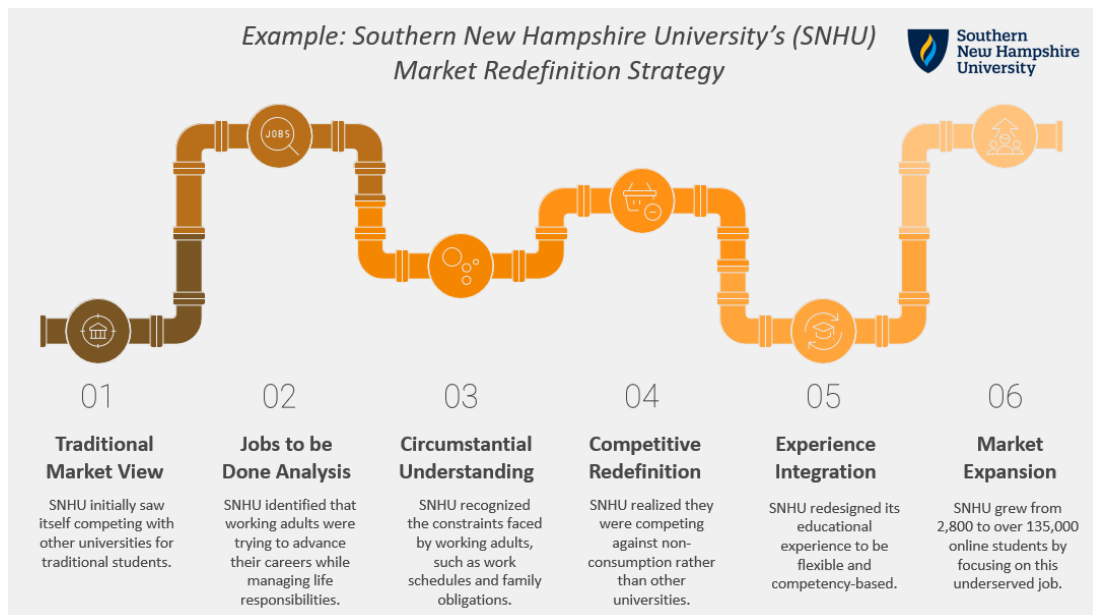
The Jobs to be Done framework fundamentally reframes playing field selection by focusing on the progress customers are trying to make in specific circumstances rather than traditional market segmentation based on demographics or product categories. Developed by Clayton Christensen, this framework recognises that customers don't buy products—they "hire" them to accomplish specific jobs. A job represents what an individual seeks to accomplish in a given circumstance, encompassing functional, emotional, and social dimensions simultaneously.

The framework challenges conventional market analysis by emphasising that circumstances are more important than customer characteristics, product attributes, or market trends in determining purchase behaviour. It reveals that true competition often extends far beyond traditional industry boundaries to include non-consumption, workarounds, and alternative approaches customers currently use to accomplish their jobs.

Key principles for playing field application include:

- **Circumstantial Focus:** Understanding the specific situations (Jobs that customers need to get done") that trigger customer need rather than demographic profiles
- **Causal Analysis:** Identifying what actually causes customers to make purchasing decisions rather than relying only on consumption data of existing categories of products and services
- **Struggle Identification:** Finding jobs that customers struggle to accomplish with existing solutions
- **Experience Integration:** Designing complete experiences that address functional, emotional, and social job dimensions
- **Non-consumption Opportunities:** Recognising that the largest market opportunities often lie with people who aren't hiring any solution

The Jobs to be Done framework is particularly valuable for playing field decisions because it reveals new market boundaries and competitive landscapes that traditional analysis misses. It helps organisations identify underserved or unserved customer needs, redefine their competitive set, and create integrated experiences that are difficult for competitors to replicate.



Example: Online Education Market Redefinition

Consider how Southern New Hampshire University (SNHU) used Jobs to be Done thinking to redefine their playing field:

- **Traditional Market View:** Competing against other universities for traditional college-age students seeking degrees
- **Jobs to be Done Analysis:** Discovered that working adults were trying to accomplish the job of "advancing my career while managing my current life responsibilities"

- **Circumstantial Understanding:** These customers faced constraints like work schedules, family obligations, financial pressures, and geographic limitations
- **Competitive Redefinition:** Realised they were competing against "doing nothing" (non-consumption) rather than other universities
- **Experience Integration:** Redesigned entire educational experience around the job—flexible scheduling, competency-based progression, dedicated support, and employer partnerships
- **Market Expansion:** Grew from 2,800 online students to over 135,000 by focusing on this previously underserved job

This analysis revealed that the real playing field wasn't "higher education" but "career advancement for working adults," leading to a completely different competitive strategy and market approach that traditional segmentation would have missed.

Thank you for your attention. In our next module, we'll explore the next section of the Strategy in Action Canvas: the Value Proposition.